

THE RISING FEE PARADOX

B-schools are spending more to upgrade infrastructure to compete with the best, but traditional streams such as management development programmes are yielding less

BY **K. GIRIPRAKASH**

IN AN ironic turn, business schools that teach students how to build and manage businesses are increasingly drawing on the same lessons to navigate their institutions and keep them financially viable. As they become more expensive to run, some of their traditional revenue streams are becoming less reliable.

The findings of the *BT*-MDRA survey offer a revealing snapshot. The average course fee at top 25 B-schools has risen around 3% in 2026, even as revenue from management development programmes (MDPs) has fallen 27% for the top 25 and significantly for the top 100. At the same time, revenue from government-sponsored research and consultancy has jumped; among the top 10, it has risen almost fourfold in a year.

As B-schools' costs rise faster than their ability to raise funds, they are leaning back on the one revenue line they can reliably turn to—the student fee.

THE CHANGING MDP

At first glance, the trend looks worrying. But people running B-schools describe something more nuanced. "I would describe the market as changing rather than declining," says Kiran Neti, Director of Corporate and Career Services at Great Lakes Institute of Management in Chennai.

The generic MDP is under pressure as companies have developed their own learning and development capabilities while executives

- **Indian B-schools have relatively small endowments and limited alumni funds. With faculty becoming harder and more expensive to recruit, tuition remains the revenue line the institutions can easily fall back on**
- **MDP revenue of the top 25 B-schools has fallen 27%. Research and consulting are emerging as the new growth engines**
- **AI, data, digital learning, analytics, hybrid platforms, industry engagement and career services now require sustained investment**